

[Session Name]

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[Case Name]

Lloyd Michaux RT Testing

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Q fact

Page	Source Text	Note	Issues
8	MR EGGERS: I think the significance of the evidence is a matter that the Tribunal is certainly qualified to give the weight it deserves.	-	 Delay
9	CHAIRMAN: That is extremely helpful. Just so we know whenever you make any reference to proceedings, you're not arguing any element of r...	-	 Scaffolding
4	It's also not disputed that KFH wired \$40 million to an account that was held by the Money Exchange and again, their name is right on the...	-	 Delay
5	t's not in dispute that the court when rejecting their claim, said that it was without prejudice to their ability to bring it, that their claim would no...	-	 Delay
6	MR EGGERS: There are I think two come poabilitieses. Yes, the grav man of the claim is the falsified financial statements and the reliance...	-	 Delay
15	So he's really at the third floor of AHAB in the same building where mark hi I will is situated ^ and he's gathering the information business act...	-	 Delay
1	Q. Certainly, Mr Chairman and with respect to some of those documents relating to the transaction, we don't include those as undispute...	-	 Scaffolding
7	What they're discussing here is a resolution and this just one of many, that specifically directs the falsification of the financial statements. It's...	-	 Delay
1	m introduce physical distance as well as philosophical difference if we might call it that, is to say: well, the elevator was blocked, respectfull...	-	 Delay

01 (2.05 pm)

02 PRESIDENT: Physical difference, as well as philosophical

03 difference -- if we might call it that -- is to say:

04 "Well, the elevator was blocked."

05 Respectfully, we submit that that is just a strange

06 way to disavow the actions of your own company, because

07 if the door was locked, why didn't you order it opened?

08 If you wanted to know what was going on at your own

09 company, why did you simply not ask?

10 A. The third undisputed fact is that the Money Exchange

11 provided falsified financial statements to lenders,

12 including Kuwait Finance House.

13 PRESIDENT: Sorry. For the record, when you say "undisputed

14 facts", I think your view is that these cannot be

15 disputed on claimant's case, because respondent does

16 dispute those. Is that my understanding?

17 A. I would say not, because if you look at their pleadings,

18 they concede that the Money Exchange conducted a fraud.

19 They simply debate that is what was -- (overspeaking) --

20 many son, we understand the position, but just to be

21 Q. -- we understand the position, but just to be clear,

22 because also some of the exhibits, especially the

23 resolution and the contract, some of them challenge the

24 documents provided by the parties. We'll hear from them

25 on that?

01 A. Certainly, Mr Chairman.

02 And with respect to some of those documents relating
03 to the transaction, we don't include those as undisputed
04 facts, we recognise they're disputed, we're really
05 pointing to things that, for example, they've put in
06 this in their own evidence.

07 CHAIRMAN: Thank you.

08 MR HINES: I think also you said that was an undisputed
09 fact, but that is a disputed fact.

10 MR WEBSTER: They claim that it was, but they do not ever
11 claim that it was legally a separate and distinct
12 entity.

13 We submit, as I said, that's for good reason.

14

15 Opening submissions by MR IKRAM

16 MR IKRAM: It is pretty clear that it is not, however.

17 There is testimony from Mr Charlton, who we'll hear
18 from tomorrow, that was submitted in the Cayman Islands'
19 proceedings, and he states here that the financial
20 statements that were produced by the auditors El Ayouty,
21 and they were falsified and that the Money Exchange
22 misrepresented the nature of its business.

23 And as we'll see, it's really very difficult for
24 them to dispute that the financial statements are false
25 when you look at the numbers in the light of everything

01 that happened.

02 So we submit that there's a good reason that while
03 they try to distance themselves from the facts, they
04 don't dispute the facts themselves.

05 The fourth is that AHAB's partners accepted annual
06 dividends and other benefits from the Money Exchange.

07 This is again from Mr Charlton's evidence, where he
08 notes 146 million which is actually in loans to AHAB and
09 its partners and nearly 100 million in dividends derived
10 from what he describes as the Money Exchange's
11 ostensible profit.

12 The Money Exchange for years subsidised the AHAB
13 partners' lavish lifestyle by paying their bills and
14 wages. This is an extract from Yousef Alghosaibi's
15 testimony from the transcripts that respondent was
16 recently ordered to produce.

17 So we would submit that even if you accept:

18 "Their case at face value and the way that they
19 portrayed how it was done, the Money Exchange, for the
20 most part, and the best that you can conclude."

21 Is effectively this, that for years the AHAB
22 partners stuck their head in the sand and their hands
23 out for money from the fraud that they concede
24 Mr Al Sanea perpetrated.

25 MR WEBSTER: Is that a life-like representation?

01 MR HEITZMANN: It is not.

02 MR IKRAM: I think it's Mr Bean!

03 PRESIDENT: But we also submit that that case should not be
04 accepted on its face, because as we'll go through, we
05 believe and we think the evidence shows clearly, that
06 the AHAB partners knew exactly what was going on,
07 authorised it, approved it, and were equally complicit
08 for several reasons.

09 Where we don't have any dispute was that KFH thought
10 it was dealing with the Money Exchange. They state that
11 we were not and again, we've engaged that issue and
12 we're disputing that, but there really is no getting
13 around the evidence from KFH's own internal documents
14 that they believed they were dealing with AHAB.

15 Whether or not they were we can dispute with
16 respondent, but certainly that was their belief?

17 A. We see here two excerpts from an internal memorandum
18 that preceded the renewal of the line of credit under
19 the MMA that forms part of the basis of the dispute
20 here.

21 Q. It's also not disputed that KFH wired \$40 million to an
22 account that was held by the Money Exchange.

23 Again, their name is right on the documents. These
24 are the SWIFT transactions. These are the bank
25 statements that they produced and their case is not that

01 the money didn't go to an account held by the Money
02 Exchange, their case is simply that that was.
03 Really, AHAB's account is that it was essentially
04 a frolic by Mr Saud, but it is not, we submit, disputed
05 on the record that the account was actually held by the
06 Money Exchange, in name?

07 A. It's also not disputed that AHAB has not given that
08 money back.

09 (2.12 pm)

10 (Short break)

11 (2.13 pm)

12 MR EGGERS: They attended creditors' meetings and they
13 pursued their claims on the back of the promissory notes
14 in Saudi Arabia. In fact, that forms the basis for one
15 of their admissibility defences.

16 So the fact that KFH has been chasing this debt for
17 a long time is not seriously disputed either.

18 It's not in dispute that the court, when rejecting
19 their claim, said that it was without prejudice to their
20 ability to bring it, that their claim would not lapse
21 simply by virtue of the denial.

22 Again, the significance of that, I think, it's fair
23 to say, is disputed, but the language and the ruling
24 itself, we submit, on the record, cannot be in dispute.

25 With that as the backdrop, we think that many of the

01 disputed issues in this case have very obvious
02 resolutions.

03 Now, I want to note now I want to note the following
04 again and again I want to note the following. Typing in
05 some extra lines to see if everything is working okay.

06 Following this presentation of what we think should
07 not be in dispute, that though AHAB denies it was
08 complicit in the fraud, then it is from the respondent's
09 own evidence, that what they're presenting here is the
10 arguments they made at the Cayman Islands court.

11 What they're --

12 CHAIRMAN: Just to be clear, because that's in the first
13 claim is in fraud on the conspiracy. The fraud you're
14 referring to is the falsified statements, as we

15 MR EGGERS: There are, I think, two components.

16 Yes, the gravamen of the claim is the falsified
17 financial statements and the reliance induced. But part
18 of our fraud claim is also that their fraud didn't stop
19 with that, that for years they misled lenders like KFH.

20 CHAIRMAN: That's important, because when you refer to that,
21 it might be helpful because we're going to also hear
22 from them on that.

23 When you address that, what is exactly the elements
24 of fraud you're relying on and when did you know about
25 that in that sense? Because that also goes to the

01 limitation defence that you're claiming on your
02 counterclaim.

03 MR EGGERS: Yes, Mr Chairman. We acknowledged and we will
04 certainly get there when we get to the legal details of
05 our claim.

06 What they're discussing here is a resolution -- and
07 this just one of many -- that specifically directs the
08 falsification of the financial statements. It's
09 capitalisation of interest on the loan, but in addition
10 it's the preparation of English language statements for
11 the purposes of showing third parties.

12 They refer here to making cutting adjustments to
13 both the assets and the liabilities and to adopt them to
14 suit the competitive figures for previous years.

15 Now, they note that in cross-examination, Yousef
16 Algoaibi was, in fact, in those matters beholden to the
17 likes of Suleiman, Ahmad and Abdulaziz.

18 However, in what you'll see becomes one of the
19 themes of their testimony, he simply indicated that he
20 didn't really understand it and he just signed it
21 because the elders, the partners, directed him to.

22 We respectfully submit that blaming the actions on
23 other AHAB partners -- be they decided or not -- cannot
24 serve to exculpate AHAB from liability.

25 CHAIRMAN: What is the value of the evidence given in other

01 proceedings? We will soon hear about Bahrain, Saudi
02 Arabia and the UK.

03 We know this, but what value specifically, and then
04 what is the test? Is that subject to English law, in
05 terms of the evidential value of it, or a different law?

06 MR EGGERS: I think the significance of the evidence is
07 a matter that the tribunal is certainly qualified to
08 give the weight it deserves.

09 When it comes to admissions of the parties, we would
10 submit that a party's admission, particularly when it's
11 being tested in cross-examination, in a legitimate court
12 of law, is something that should be given substantial
13 weight.

14 I think the documents themselves that were admitted
15 that respondent was ordered to produce, like any other
16 document, should be afforded the weight that the
17 tribunal believes they are due, based on the provenance
18 of those specific documents.

19 As to the test, we don't think that English law
20 evidentiary rules -- or, for that matter, any forum's
21 evidentiary rules -- be specifically applied, given that
22 this is an international arbitration. We think that by
23 design, the evidentiary standards are looser because
24 there's no danger, for example, of a jury being misled.
25 The tribunal is all well qualified to understand the

01 evidence presented to it.

02 Once the weight has been given to that evidence,
03 however, the burden of proof on the claims and the
04 elements that must be met certainly are to be adjudged
05 under English law.

06 CHAIRMAN: That is extremely helpful.

07 Just so we know, whenever you make any reference to
08 "proceedings", you're not arguing any element of
09 res judicata, because that is your position that it
10 is all pure evidence.

11 MR EGGERS: Yes, Mr Chairman, absolutely it is simply
12 offered for evidence, not for a binding determination.

13 CHAIRMAN: Thank you.

14 MR EGGERS: Here to that point, we have admissions from Saud
15 Algosaihi from his testimony on the stand, and I would
16 note again not that this is a binding finding, but
17 certainly I think there's persuasive value to what the
18 jurists sitting in the room listening to this evidence
19 concluded, but it's fair to say this they did not find
20 the evidence to be truthful at many points.

21 But nevertheless, just accepting it on its face, for
22 what Mr Algosaihi says, he's asked about the fact that
23 the Money Exchange had substantial borrowings, and that
24 those borrowings eaten up any income that it had.

25 He confirms, yes, we looked at documents that shows

01 that.

02 He's asked: don't you think it's strange for
03 a company that has no profits to be paying dividends?
04 And he first says, well, think they do it many different
05 ways and he's challenged on that. Then again, he falls
06 back on the elder AHAB partners saying, well, it's
07 a continuation of tradition, that's how it's done, he
08 says I didn't regard it as strange or not. It was just
09 the practice, it was my uncle's call, before that it was
10 my father's call, so I just followed what they did.

11 This again comes back to our point that even if you
12 were to accept the case that they put on, what they're
13 essentially tell you is that we were negligent in the
14 operations of our own business. We didn't care what was
15 going on, we just wanted the money.

16 We think this is reaffirmed by Yousef Algozaibi
17 again he was asked isn't the Money Exchange giving its
18 income or part of it to AHAB by declaring dividends?
19 Yes, what was it going to be left with to pay its
20 borrowings? And he simply says I don't know.

21 That we it? Is an odd posture for one of the
22 principles within an interest in the company.

23 What we thought, despite the attempts to place this
24 all on the elder partners, is that they actually
25 continued this process that was put in place at first by

01 Abdulaziz for a long, long period of time until the
02 fraud collapsed.

03 Each year you'll see that they issued these
04 resolutions to continue the accounting practices that
05 were put in place the prior year and to produce an
06 English language what they refer to as the budget in the
07 same method as the prior year.

08 And these resolutions form the basis for their
09 auditors going along with this programme.

10 And they did this year after year after year. You
11 see all these resolutions that say: please adjust the
12 books in the way that we've done in the past and also we
13 authorise you to pay out dividends and that is in
14 a context of a Money Exchange that has no profits.

15 And this happened all the way up through 2008.

16 This is again from their own annex summarising what
17 they believe is relevant testimony and what you see here
18 is Saud Alghosbi asking: you signed this resolution
19 every year. What do you mean you didn't know what it
20 meant? Weren't you curious?"

21 At first his answer is a little difficult to follow,
22 but then he again says, well, it's just something my
23 father did. ^^ in his words stills my key concern was
24 to 'lease footsteps ^ we sign, we get dividends. We
25 sign it, we get the money."

01 Again, in discussing the further resolutions, they
02 say that it was in fact signed by Suleiman Yousef and
03 Saud and Mr Al Sanea ^ Saud didn't recall signing it.
04 However, he again says if I did I it was just to get the
05 money.

06 Again, with respect to a 2004 resolution, I have to
07 sign otherwise the dividends will not be paid. He says
08 here we have the chief accountant, and that's AHAB's
09 chief accountant, third floor, head office, Omar Saad
10 involved, we have Badr -- sorry, I apologise Mr Badr is
11 the one I was referring to ^ their financial adviser at
12 the head office. What is involved. We have uncle, one
13 of the principles there, so many times over the chief
14 accountants want to get this released and get it done.

15 Unsurprisingly, this factored to a great degree in
16 the Cayman Islands court decisions where they explain in
17 much more detail than we have time here, exactly the
18 nature of the accounting adjustments, the capitalisation
19 of interest and why this was fraudulent.

20 I'm not going to belabour the point on the slides.
21 We have them here simply to underscore that these
22 practices were intentionally designed to mislead third
23 parties at the same time that they were sucking profits
24 out of the company to their own benefit.

25 This discusses the English language silo for the

01 finance decision which is a pure construct where they
02 allocated all of the debt of the Money Exchange to
03 a particular subdivision of the Money Exchange that
04 would be hidden from ghshes that was obscured in the
05 English statements, but or dik statements meant to
06 privately inform them ^ of what as really going on were
07 still prepared each year by their el youty.

08 El youty ultimately was a willing participate in in
09 this, but at least in the early day I this was not
10 without protest and this I believe is one of the
11 exhibits that was just odded to be disclosed several
12 weeks ago. It's a already from them in 1994 to
13 Abdulaziz and he's saying I express my deep discomfort
14 about the situation. I hope it's not going to become
15 a catastrophe.

16 It in fact as we know, in 2009, does become
17 a catastrophe.

18 He says that I was personally astonished in your
19 attitude towards machine Al Sanea whee he ^^ you
20 (^read... I was accusing him. In conclusion (^read...
21 out you have yourle it must be presented to all partners
22 so they can act accordingly." ^doc.

23 That, of course, was not done -- at least acting
24 considering I will was not done ^.

25 Again, we have the Cayman Islands court explaining

01 context liesing all of this evidence and noting that the
02 correspondence between El Ayouty and Abdulaziz was found
03 in the possession of said Algosai. ^.

04 We also have them underscoring that Abdulaziz
05 speaking on behalf oy about Hau nooft false accounting
06 practices and we have them underscoring the partners
07 knew that the Money Exchange was making representations
08 to third parties about the false statements of their ^^
09 (^unclear words...)

10 With that I'm going to turn things over to my
11 colleague Mr Heitzmann who's going to discuss some of
12 the relationship between the Money Exchange actors and
13 AHAB's partnership and its actors as well as Kuwait
14 Finance House.

15

16 Opening submissions by Mr Heitzmann

17 MR HEITZMANN: To the point, Mr President and members of the
18 tribunal I'm going to start with the point of the which
19 is on the screen, which is the joint engagement of the
20 AHAB partners and the employees of the work subdivision,
21 the Money Exchange, and we're going to start with Mark
22 Hayley, who is the defined as a key witness in the
23 Cayman proceedings, he's the general manager of the
24 Money Exchange and you see on the screen his witness
25 statement since 1998, he starts working there and until

01 the very end and he's ^^ trying to explain in his
02 witness statement that the Money Exchange is working
03 independently of the rest of AHAB then when you go to
04 the paragraph 119 of his witness statement he explains
05 that actually, he goes to see Mr Badr in the third floor
06 which is working on the AHAB's back office ^name) he
07 says to basically glean information hchtdz business
08 initiatives under consideration by the Al crb ^ they are
09 also other points to visit the third floor other
10 reasons.

11 We're going to talk about that, but just when talk
12 about Mr Bad, Mr Hines mention his name earlier, Mr Mark
13 Hayley actually ^ explains who he is in his witness
14 statement, it's paragraph 117 and he says he has been
15 described as the deputy financial manager of AHAB the
16 property division manager, the investment ^^ the
17 financial adviser and financial consult ability the end
18 that by virtue of these roles he acted as a conduit
19 through which the Money Exchange obtained information
20 requested by the banks from AHAB's head office in
21 relation to the following." ^doc.

22 So he's really at the third floor of AHAB in the
23 same building where mark hi I will is situated ^ and
24 he's gathering the information business act trts
25 performance of AHAB's subsidiaries and all affiliates --

01 I'm quoting again 117 of the witness statement of
02 Mr Hayley. He's providing information required by the
03 Money Exchange to produce its consolidated financial
04 statements and information requested by the Money
05 Exchange by the ratings agencies and obtaining the
06 signatures of the AHAB partners on facility
07 documentation relating to the financial businesses.

08 So there is coordination between AHAB partners
09 through Mr Bad ^ at least also another person and the
10 other signatory actually of the Amendment Letter
11 Mr Jamjoum and we're going to talk about him a bit
12 later. He's working with the Money Exchange, but hi has
13 also access to the AHAB personnel ^ and that's also in
14 the witness statement of Mr Hayley at paragraph 114.

15 So I was mentioning Mr Hayley's visit to the third
16 floor and telling you that he's also -- there are also
17 other reasons because sometimes banks actually visit
18 AHAB. They want actually to meet AHAB partners and what
19 is going to do, he's going to coordinate meetings with
20 the banks and Mr Saud Algosaibi the sown of ^ Mr About a cull Aziz, one of
the founding partners ^.

21 So that's one example, that's one of the few
22 exhibits that we were recent I will receiving from AHAB
23 following the tribunal's orders, he's writing to
24 Mr Al Sanea, you may remember that ^^ asked for an
25 appointment to see Mr Saudle dog I am not able (^read...

01 that arrangement have been made." ^doc.

02 And so forth. You can see at the bottom we provide
03 other examples of these visits on the next slide you see
04 actually the visitors scheduled, the actual attendance
05 list, and again other examples at the bottom.

06 So you can see all this is happening with Mark
07 Hayley, Mr Saud Al Kwok coordinating visits with the
08 banks, the banks representatives, they want to see AHAB
09 the face of AHAB. They want to see the peps cola
10 factory, it's a cash money cash making ^ asset for AHAB
11 and they want to understand.

12 So as we see on the next slide, Mr Hayley, who's one
13 of the key witnesses of AHAB in the case he 125EUs until
14 ^ claimant he continues to work throughout until 2016
15 with AHAB for the proceedings, the Money Exchange of
16 course is shutdown in 2009, but he's continuing and he
17 will testify in 2016 in the Cayman proceedings on AHAB's
18 side.

19 Now, all this is only the tip of the iceberg. We
20 will see other examples of ^^ joint engagement of the
21 AHAB partners with the Money Exchange, in particular in
22 the late months of the life of the Money Exchange early
23 2009 we will see a lot of activity involving the
24 partners including Dawood signing many bank of ^^ a will
25 the of the bank documentation.

01 Now, we are going to talk about the engagement with
02 KFH and here on the screen you see an internal
03 memorandum translated from Arabic, that is
04 in March 2008, where actually KFH mentions when
05 recommending to extend the \$70 million Murabaha
06 agreement facility that it is important to highlight the
07 longstanding relationship between the bank KFH and
08 Algosaibi which has spanned 13 years with over 24
09 Murabaha transactions renewed every six months. 15
10 years will go back to 1993 ^doc we have actually on
11 exhibit on the record which is C-7 #, which is money of
12 the first Murabaha agreements where AHAB is a guarantor.

13 C-76 ^.

14 Now, we see also that KFH's relationship is also
15 with the AHAB partners. KFH is not dealing only with
16 Mark Hayley and the Money Exchange employees. They
17 receive actually letters from AHAB's partners Middle
18 East and this is an example where ^ the Suleiman and
19 Saud Algosaibi in 2003 informed KFH about the exchanges
20 in the management of the Money Exchange following the
21 death of Abdulaziz. You can see we provide many other
22 examples of employers to mow co-signed by Suleiman ^ and
23 Saud, but this one is written to KFH a few months later
24 you still have mes ^ from Mr Sule also about the changes
25 to the Algosaibi partnership and board of the mes.

01 So obviously the AHAB partners know that who's
02 managing the mes and they actually communicate about
03 that.

04 Now, you will recall that in the Cayman proceedings,
05 there was a change in AHAB's argumentation following the
06 discovery of the N files and they started changing their
07 case from everything is forged to now only the
08 facilities that increased the \$2 billion debt after 2000
09 were potentially forged.

10 So there was a lot of discussion about that in the
11 Cayman proceedings, there were findings that actually
12 this was not supported by the documentation and here you
13 have an exhibit C-171, which is AHAB's spreadsheet of
14 lending relationship which was ^^ KFH in the old KFH
15 facilities were increased, were increased, but not
16 alleged to be forged in the Cayman proceedings

17 (2.35 pm)

18 (The hearing adjourned until 9.30 am on the following day)

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20